



[Weekly Market Commentary](#)

Dear clients,

Many technical factors pressuring crypto performance to the downside are starting to be exhausted, in our view, which may give way to a more supportive trading environment in the weeks ahead – particularly given the favorable macro backdrop. Indeed, net inflows into US spot bitcoin ETFs have averaged more than US\$200M daily over the last week (taking the total net inflows to \$1.46B since January 11). We expect rate cuts in the US to start in May and the tapering of quantitative tightening soon after, coinciding with idiosyncratic events like the bitcoin halving and creating a positive setup for the asset class more broadly.

Meanwhile, Solana airdrop season continues in earnest with Jupiter, Solana’s leading decentralized exchange aggregator, launching its first of four airdrops on January 31. This was one of the largest airdrops ever, and the elevated activity around it represented an important “real-world” stress test for the Solana blockchain. Although some individual nodes were overloaded, there was no widespread blockchain halt, showcasing the substantial improvements in its core protocol. That said, there is a reporting gap for transaction failures at the node level which are also a critical part of the user experience.

Finally, we recently published [“Bitcoin Halving and Miner Economics”](#) covering the impact of the upcoming April 2024 Bitcoin Halving on miner sustainability and hash rate growth, which we think may begin to subside in 2H24, absent corresponding price appreciation. We also investigate the increasing importance of transaction fees on miner revenue and how it has been responsible for a larger amount of revenue variability compared to price fluctuations throughout 2023.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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